

Famous Last WORDS...

From PricewaterhouseCooper's audit report on April 21, 2008

- ➔ "In our opinion, the Balance Sheet, Profit and Loss Account and Cash Flow Statement dealt with by this report comply with the accounting standards referred to in sub-section (3C) of Section 211 of the Act."
- ➔ "In our opinion, the company has an internal audit system commensurate with its size and nature of its business."
- ➔ "The company has no accumulated losses as on March 31, 2008 and it has not incurred any cash losses in the year ended on that date or in the immediately preceding financial year."
- ➔ "During the course of our examination of the books and records of the company... we have neither come across any instance of fraud on or by the company, noticed or reported during the year, nor have we been informed of such case by the management."

“ We need to know who cooked such accounts and whether the audit was done properly. ”

C.B. BHAVE, *Chairman, SEBI*

didn't blow the whistle either. The violations include falsification of accounts, cheating, criminal breach of trust and forgery; these are punishable with jail terms ranging from two years to seven years. The Institute of Directors, that had conferred the Golden Peacock Global Award to Satyam, has stripped the company of the laurel in view of the "falsification of the books of accounts".

Corporate Affairs Minister Prem Chand Gupta has asked the Serious Fraud Investigation Office to probe the affair. SEBI Chairman C.B. Bhave, who found the "confession an event of horrifying magnitude", has promised a probe "to find out who has been trying to cook such accounts". The probe will also examine whether the audit of the company was done properly. FICCI President and Rajya Sabha member Rajeev Chandrasekhar says questions need to be asked to quickly establish how this happened and who caused it to happen. Investors aren't lying low either, with some investors mulling legal options. The New York Stock Exchange on January 7 halted trading in Satyam stock, the scrip is off the Nifty from January 12 and the ICAI has decided to issue a show cause notice to the au-

ditors of the company. A case has already been filed with the Economic Offences Wing of the Mumbai Police by former BJP MP Kirit Somaiya.

A deft networker and Davos regular, Raju was close to both TDP chief N. Chandrababu Naidu, who invited him to share the platform with Bill Clinton, and Andhra Pradesh Chief Minister Y.S. Rajasekhara Reddy who worked with him on the 108 ambulance service. His transition from someone who started his entrepreneurial career running a shrimp farm to a tycoon who steered Satyam into the \$2-billion club made him an icon in Andhra Pradesh. Today his friends cannot believe that someone who built the fourth largest software company with operations in 66 countries would so callously endanger the company and its 53,000 employees. The mood in the campus is gloomy. Ram Mynampati, the interim CEO, has his task cut out. His big worry would be ensuring the 185 Fortune500 customers stay on. Already the government—faced with the possible huge number of job loss—is considering stepping in. Reddy has urged Prime Minister Manmohan Singh to intervene. The question on everyone's mind: will Satyam survive the huge lie?

with Nivedita Mukherjee and Nandini Vaish

Graphics by PRASHANT CHAUDHARY

*Market capitalisation in rupees crore; market price in rupees

Oct 10, '08 249.85

Jan 7, '09 39.95

Jan 7, '09
2,692.17*

A PRASHANT RAO



MYNAMPATI,
RAJU AND CFO
V. SRINIVAS